

Note that a pyramided structure of six successive holding companies was built above the various operating companies in this system. The complete collapse of this structure is shown by the fact that every one of these six superposed holding companies was thrown into bankruptcy. For description, charts and discussion of the Insull Group see James C. Bonbright and Gardiner C. Means, *The Holding Company*, pp. 108–113, New York, 1932.

Second Example: The United States and Foreign Securities Corp. set-up provides a fairly simple demonstration of the workings of a pyramided structure in the general investment trust field.

This company was organized in 1924. The public bought \$25,000,000 of \$6 First Preferred at par (the company receiving \$24,000,000), and the organizing bankers bought \$5,000,000 of \$6 Second Preferred at par. The 1,000,000 shares of Common Stock, representing a purely nominal investment (10 cents per share), were divided: 25% to the public, and 75% to the organizers. Thus the latter supplied one-sixth of the capital, subordinated to the other five-sixths, and received a three-quarters interest in the surplus profits. Toward the end of 1928, the holding company form of pyramiding was utilized by the formation of a second company, U.S. & International Securities Corp., a \$60,000,000 enterprise. The public contributed \$50,000,000 of the capital, receiving \$5 First Preferred Stock at 100, plus one-fifth of the Common. United States & Foreign Securities Corp. contributed \$10,000,000, receiving \$5 Second Preferred at 100, plus four-fifths of the Common. This arrangement gave the organizers of the original company control over the additional funds subscribed without further investment on their part. Because of a \$30,000,000 appreciation in the resources of U.S. & Foreign Securities Corp., the end of 1928 found the contributors of the original \$5,000,000 now controlling \$110,000,000 of capital (including subscriptions callable) and entitled to about 78% of the surplus profits or enhancement thereof.

A. PERIOD 1924–1928

Item	Total	Public's	Organizers'
Original investment	\$30,000,000*	\$25,000,000	\$5,000,000
Book value, December 1928	60,000,000	32,000,000	27,000,000
% increase in book value	100%	30%	450%
Maximum market value of U.S. & Foreign capitalization†	100,000,000	42,000,000	57,000,000
% Increase in market value	233%	70%	1,040%

* Company received \$29,000,000.

† First Preferred @ 100; Second Preferred estimated @ 80; Common @ 70.